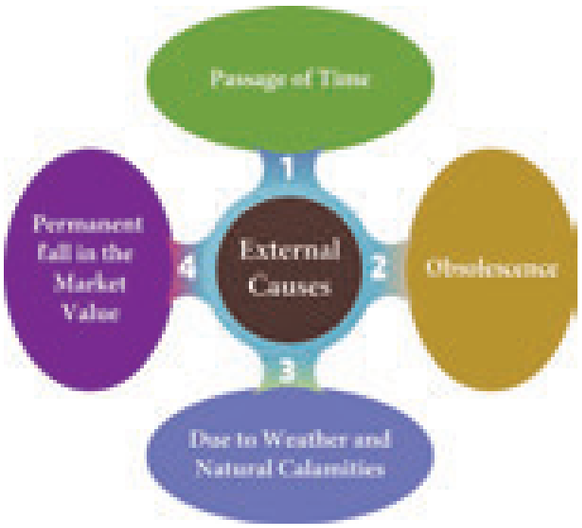


1. **Effluxion or Passage of Time:** The utility of some fixed assets like patents, copyrights, trademarks, leasehold property etc., is confined to a time frame. The value of the asset decreases after a particular period of time. For example, assets like lease hold property becomes valueless after the expiry of the period of lease.
2. **Obsolescence:** The value of an asset decreases due to (a) invention of new and improved techniques or production methods, for example, old machines become outdated with the introduction of new machines, (b) decline in market due to change in taste and fashions, or (c) change in market conditions, for example, the demand for a product or service falls to such a level that it is no longer viable to continue with that product or service, (d) legal restraints, etc. These factors make it economical to replace the assets though they are still usable.
3. **Due to Weather and Natural Calamities:** Some assets lose in value when they are constantly exposed to rain, sun, wind etc. and certain assets decline in value when they are affected by certain natural calamities like flood, earth quake, fire etc.
4. **Permanent fall in the Market Value:** Assets like investments lose value due to permanent fall in market value of the asset. Such a fall in the price of an asset should be treated as depreciation. Temporary fall in the value of investments should be ignored for calculating depreciation.

7.4 Objectives of Providing Depreciation

The need for charging depreciation arises due to the following objectives:



1. **To Ascertain the True Cost of Production:** Depreciation or decrease in the value of fixed asset arises when the asset is used in production of goods or services.

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